

IN THE HONOURABLE SUPREME COURT OF THE REPUBLIC OF LIBERIA,  
SITTING IN ITS OCTOBER TERM, A. D. 2025.

BEFORE HIS HONOR : YAMIE QUIQUI GBEISAY, SR..... CHIEF JUSTICE  
BEFORE HER HONOR: JAMESETTA H. WOLOKOLIE ..... ASSOCIATE JUSTICE  
BEFORE HIS HONOR : YUSSIF D. KABA ..... ASSOCIATE JUSTICE  
BEFORE HER HONOR: CEATNEH D. CLINTON-JOHNSON.....ASSOCIATE JUSTICE  
BEFORE HIS HONOR : BOAKAI N. KANNEH .....ASSOCIATE JUSTICE

Natural Resources Development Corporation (NRDC),  
represented by its Attorney-in- Fact, J. Johnny Momoh &  
Associates Legal Chambers, Inc., by & thru its Managing  
Counsellor, J. Johnny Momoh, of the City of Monrovia,  
Montserrado County, Republic of Liberia .....Appellant

Versus

Appeal

The Intestate Estate of Macdonald A. Wento by and thru its  
administratrix /administrator, Michelle A. Dennis Wento and  
Nick Wento, of the City of Monrovia, Montserrado County,  
Republic of Liberia

And

Geblo Logging Inc., represented by all of its Corporate Officers  
also of the City of Monrovia, Montserrado County, Republic of  
Liberia..... Appellees

GROWING OUT OF THE CASE :

The Intestate Estate of Macdonald A. Wento by and thru its  
administratrix/administrator, Michelle A. Dennis Wento and  
Nick Wento, of the City of Monrovia, Montserrado County,  
Republic of Liberia ..... Movant

Versus

Motion to Dismiss

Natural Resources Development Corporation (NRDC),  
represented by its attorney- in-fact, J. Johnny Momoh &  
Associates Legal Chambers, Inc., by & thru its Managing  
Counsellor, J. Johnny Momoh, of the City of Monrovia,  
Montserrado County, Republic of Liberia ..... Respondent

GROWING OUT OF THE CASE:

Natural Resources Development Corporation (NRDC)  
represented by its Attorney in fact, J. Johnny Momoh &  
Associates Legal Chambers, Inc., by & thru its Managing  
Counsellor, J. Johnny Momoh, of the City of Monrovia,  
Montserrado County, Republic of Liberia ..... Petitioner

Versus

Petition for  
Declaratory Judgment

The Intestate Estate of Macdonald A. Wento by and thru its

administratrix /administrator, Michelle A. Dennis Wento and )  
Nick Wento, of the City of Monrovia, Montserrado County, )  
Republic of Liberia )

And )

Geblo Logging Inc., represented by all of its Corporate Officers )  
also of the City of Monrovia, Montserrado County, Republic of )  
Liberia..... Respondents )

Heard: April 24, 2025

Delivered: February 12, 2026

MR. JUSTICE KABA DELIVERED THE OPINION OF THE COURT

This appeal is before this court for review of the trial court's ruling dismissing the petition for a declaratory judgment filed by the appellant, Natural Resources Development Corporation (NRDC), against the 1st and 2nd appellees, the Intestate Estate of Macdonald A. Wento and Geblo Logging Inc, respectively, upon the appellees' motion to dismiss. The trial court's final ruling on the appellees' motion to dismiss raises one key issue for our consideration. That issue is whether, based on the facts and circumstances outlined in the appellant's pleadings, the trial judge correctly dismissed the appellant's petition for a declaratory judgment. To properly address this issue, we must examine the parties' pleadings and contentions.

The appellant, in its petition, claims that it is entitled to a seventy-seven percent (77%) equity interest in the 2<sup>nd</sup> appellee, a registered corporate entity and forest concession holder, founded with one hundred percent (100%) of its shares owned by the 1<sup>st</sup> appellee; that MacDonald Wento, the sole shareholder of the 2<sup>nd</sup> appellee, executed on March 4, 2008 a share purchase agreement between the 2<sup>nd</sup> appellee and International Trade and Trust Group, Inc. (ITT Group, Inc.), which granted ninety percent (90%) of the equity shares in the 2<sup>nd</sup> appellee to ITT Group, Inc.; that ITT Group, Inc. on March 15, 2009 thereafter transferred all its equity shares in the 2<sup>nd</sup> appellee to the appellant; and that after several negotiations between the appellant and the sole shareholder of the 2<sup>nd</sup> appellee, Macdonald Wento, the appellant relinquished thirteen percent (13%) of the ninety percent (90%) shares back to the 2<sup>nd</sup> appellee leaving the appellant with seventy-seven percent (77%) of the equity shares in Geblo Inc.

The appellees subsequently disavowed the appellant's 77% equity interest in the 2<sup>nd</sup> appellee and ousted the appellant from the leadership of the 2<sup>nd</sup> appellee, prompting the appellant to file a petition for declaratory judgment in the Sixth Judicial Circuit, seeking a

declaration of its legal right to those shares. While this petition for declaratory judgment remained pending undetermined by the lower court, the appellant filed a petition for preliminary injunction, claiming that despite its petition for declaratory judgment filed before the court, the 1<sup>st</sup> appellee had entered an agreement with another company, Liberia Ruby Light Forestry Investment Inc., to carry out logging activities in the 2<sup>nd</sup> appellee's concession areas which is adverse to the appellant's interests, and that if the appellees were not stopped from continuing said activities, it would deplete the quantity of logs in the concession areas to the effect that any ruling rendered in the appellant's favor would be ineffectual and unenforceable. The lower court issued a temporary restraining order enjoining and prohibiting the 1<sup>st</sup> appellee and Liberia Ruby Light Forestry Investment, Inc., from logging activities in the stated concession areas pending the determination of the appellant's petition for preliminary injunction. The appellees filed a motion to dismiss both the appellant's petition for declaratory judgment and the motion for injunction filed, on the ground that the court lacked jurisdiction based on a clause in the agreement executed between the parties on August 11, 2017, which requires unresolved disputes to be submitted to arbitration; therefore, the court should dismiss the petition and the ancillary motion for injunctive relief.

The appellant filed its resistance to the appellees' returns and a motion to dismiss. The trial court determination on the motion to dismiss being the subject of the appeal, it is imperative that we appreciate the said motion and the appellant's resistance thereto.

In its motion, the appellee raised two major contentions: 1. That the trial court lacks jurisdiction over both the parties and the subject matter of the petition, on the ground that the parties executed an agreement with an arbitration clause on August 11, 2017, under which it was agreed that any and all disputes arising in connection with that agreement were to be resolved through Alternative Dispute Resolution by submitting all such disputes to the Court of Arbitration of London. The appellee, therefore, relying on 1:64.1 of our procedural code, contended that by this agreement, the parties ousted the court of jurisdiction over the parties and the subject matter of the petition. 2. That the petitioner lacks the legal capacity to institute the action, since: (i) the board resolution of NDRC is limited to actions against the Estate of MacDonald A. Wento; and (ii) J. Johnny Momo and Associates Legal Chambers failed to designate or authorize any of its lawyers, by board resolution, to file the instant petition for declaratory judgment.

In its returns, the appellant averred that the 1<sup>st</sup> appellee initially owned one hundred percent (100%) of the equity shares in the 2<sup>nd</sup> appellee. Pursuant to a sale by the 1<sup>st</sup>

appellee, the appellant subsequently acquired a seventy-seven percent (77%) equity interest in Geblo Logging Inc. Accordingly, the appellant's acquisition of the seventy-seven percent (77%) equity interest in the 2nd appellee was pursuant to share certificates, a certificate of authentication, and confirmation by the 1st appellee of the respondent's seventy-seven percent (77%) equity interest in the 2nd appellee.

Hence, the necessary parties to the petition, in respect of the one hundred percent (100%) equity interest in the 2nd movant, are the 1st appellee and the appellant, and the 2nd appellee is merely a nominal party. The appellant further contended that the fact that the 2nd appellee was not named in the board resolution authorizing J. Johnny Momo and Associates Legal Chambers, Inc. to file the petition for declaratory judgment, yet was named as a party respondent in the petition, does not constitute a ground for dismissing the petition in its entirety. Rather, the court may dismiss the petition as against the 2nd appellee and proceed to declare the respondent's right to the seventy-seven percent (77%) shares in the 2nd appellee.

The respondent further averred that a lawyer or law firm is an agent of his, her, or its client, and that no law requires a law firm engaged in the practice of law to obtain a board resolution before instituting a legal action. Accordingly, based on the letter addressed by the appellant to J. Johnny Momo and Associates Legal Chambers, Inc., Counsellor J. Johnny Momo has the legal capacity and standing to institute the petition.

The appellant also averred that its petition is not based on or predicated upon the agreement of August 11, 2017, but rather upon the share certificates, certificate of authentication, and confirmation of the respondent's seventy-seven percent (77%) equity interest in the 2nd movant, executed by the 1st appellee. The respondent, therefore, maintained that the petition did not arise out of the fulfillment or validity of the agreement of August 11, 2017, but rather seeks a declaration of the respondent's rights as a seventy-seven percent (77%) shareholder in Geblo Logging Inc., consistent with the share certificate issued in the name of the respondent. Accordingly, the petition not having arisen from, nor been pleaded as, a claim concerning the fulfillment or validity of the agreement of August 11, 2017, the courts of Liberia have jurisdiction to declare the petitioner/respondent's rights in the 2<sup>nd</sup> movant."

After a hearing, the lower court granted the appellees' motion to dismiss the appellant's petition for declaratory judgment and motion for injunctive relief. The lower court, in its

ruling, relied on the arbitration clause in the August 11, 2017, agreement and 1LCLR 1:43.5, which essentially states that a court may decline to declare rights where such a declaration would not end the dispute or eliminate the uncertainty, and concluded that a petition for declaratory judgment was not appropriate; therefore, the court dismissed the petition.

Following this ruling, the appellant entered exceptions, announced an appeal, and filed a 14-count bill of exceptions. The basic contentions in the appellant's bill of exceptions are that the lower court erred in dismissing the appellant's petition to declare its rights as a shareholder, since the Sixth Judicial Circuit has jurisdiction to declare rights; that the court also erred in dismissing the appellant's petition for lack of jurisdiction over the parties, since the petition for declaratory judgment was not based on or predicated on the August 11, 2017 agreement, but rather on the confirmation of the appellant's seventy-seven percent (77%) equity interest in the appellee's Geblo Logging Inc.

We will now proceed to address the issue of whether, based on the facts and circumstances outlined in the appellant's pleadings, the trial judge correctly dismissed the appellant's petition for a declaratory judgment on a motion to dismiss.

The appellant claims to hold a seventy-seven percent (77%) equity interest in Geblo Logging, Inc. by virtue of a share transfer transaction with ITT Group and subsequent negotiations with Mr. Wentto. The appellees deny the appellant's ownership claim, asserting that there was no proof of payment, no board resolution canceling Mr. Wentto's 100% shareholding, and no amendment to the articles of incorporation of Geblo Inc. These pleadings present a genuine dispute over ownership and shareholding rights: the appellant seeks a judicial declaration of its interest, and the appellees contest its existence. Under Chapter 43, this satisfies the "interested" and "actual controversy" requirements. In *The Ministry of Information v. One Media, Inc.* (2022), it was held that the "sole object of a Declaratory Judgment is to declare rights, status, and other legal relations, whether or not further relief could be claimed." Thus, the petition is prima facie qualified.

The court below invoked Section 43.5, reasoning that the petition could not terminate the controversy because of the arbitration clause in the August 11, 2017, agreement, and that a decision would be advisory or incomplete if arbitration remained pending. We examine that reasoning.

The Civil Procedure Law Rev. Code 1: 64.1 provides that a written agreement to submit to arbitration any controversy existing at the time of the making of the agreement or any

controversy thereafter arising is valid enforceable without regard to the justiciable character of the controversy.

The appellant's petition is based on share transfers via ITT Group and subsequent negotiations with Mr. Wento. It does not rely on the August 11, 2017, agreement as the source of its interest. In the pleadings, counts 3-7 trace the share acquisition from ITT Group, not through the 2017 agreement. The appellees' invocation of the arbitration clause is premised on the August 11, 2017, agreement. Accordingly, unless the petition is founded on that agreement or on the same parties and subject matter, the arbitration clause cannot automatically oust the court's jurisdiction. This Court, in *KML v. Metzger*, recognized that a declaratory judgment seeking to resolve a dispute subject to arbitration may be denied if it would merely duplicate the arbitration process. Here, the petition's basis lies outside that specific agreement, so the arbitration clause cannot be mechanically applied. If the court were to find in favor of the appellant, that finding would resolve the key dispute over shareholding. That would settle the core controversy and remove uncertainty about shareholder rights.

In general, where parties have contractually agreed to arbitrate disputes, the courts of Liberia will respect that agreement and decline jurisdiction. However, the dispute must fall within the scope of the arbitration agreement. Here, the appellant denies that the 2017 agreement is the source of its rights; it says its rights derive from a separate transaction with ITT Group and Wento. The appellees themselves disclaim that NRDC made any payment under the 2017 agreement or that Wento's 100% shareholding was canceled by board resolution and amended articles. In such a situation, the court must first determine whether any legal relationship exists between the parties before referring them to arbitration. Because there is a bona fide denial of the contractual basis and shareholders' rights, the court must adjudicate those foundational facts. Until it does so, the arbitration clause cannot be invoked to deny the court jurisdiction. Moreover, the petition raises substantive issues of ownership, corporate governance, and share transfer. Until the appellant's ownership rights are judicially established or denied, there is no valid basis to invoke arbitration.

To conclude, the arbitration clause does not automatically oust the court's jurisdiction in this case. The appellant's petition for a declaratory judgment meets the statutory threshold under Chapter 43 of the Civil Procedure Law: the appellant is "interested" in a legal right (77% shareholding), and there is an actual controversy regarding that right. The standing of the appellant having been challenged by the appellee, the court erred when it refused jurisdiction over the petition without first determining the standing of the parties regardless

of whether the court's final ruling would have brought a finality to the controversy. The court below erroneously dismissed the petition.

WHEREFORE AND IN VIEW OF THE FOREGOING, the ruling of the Sixth Judicial Circuit, Civil Law Court, dismissing the appellant's petition and ancillary motion for injunctive relief is hereby reversed. The court is ordered to proceed to hear the appellant's petition regarding his standing as alleged. The Clerk of this Court is instructed to send a Mandate to the court below commanding the judge presiding therein to resume jurisdiction over this case and give effect to the Judgment of this opinion. Costs to abide final determination. AND IT IS HEREBY SO ORDERED.

WHEN THIS CASE WAS CALLED FOR HEARING, COUNSELLOR J. JOHNNY MOMOH OF J. JOHNNY MOMOH AND ASSOCIATES LEGAL CHAMBERS, INC. APPEARED FOR THE APPELLANT. COUNSELLOR MARK M. MARVEY OF BEYOND LAW CHAMBERS APPEARED FOR THE APPELLEE.